

The Great Rebalancing: Navigating the \$4.8 Trillion M&A Resurgence of 2025

A comprehensive analysis of the strategic imperatives driving a near-record year of transformative dealmaking.



\$4.8 Trillion

Estimated 2025 Global M&A Value, a 36% increase over 2024.



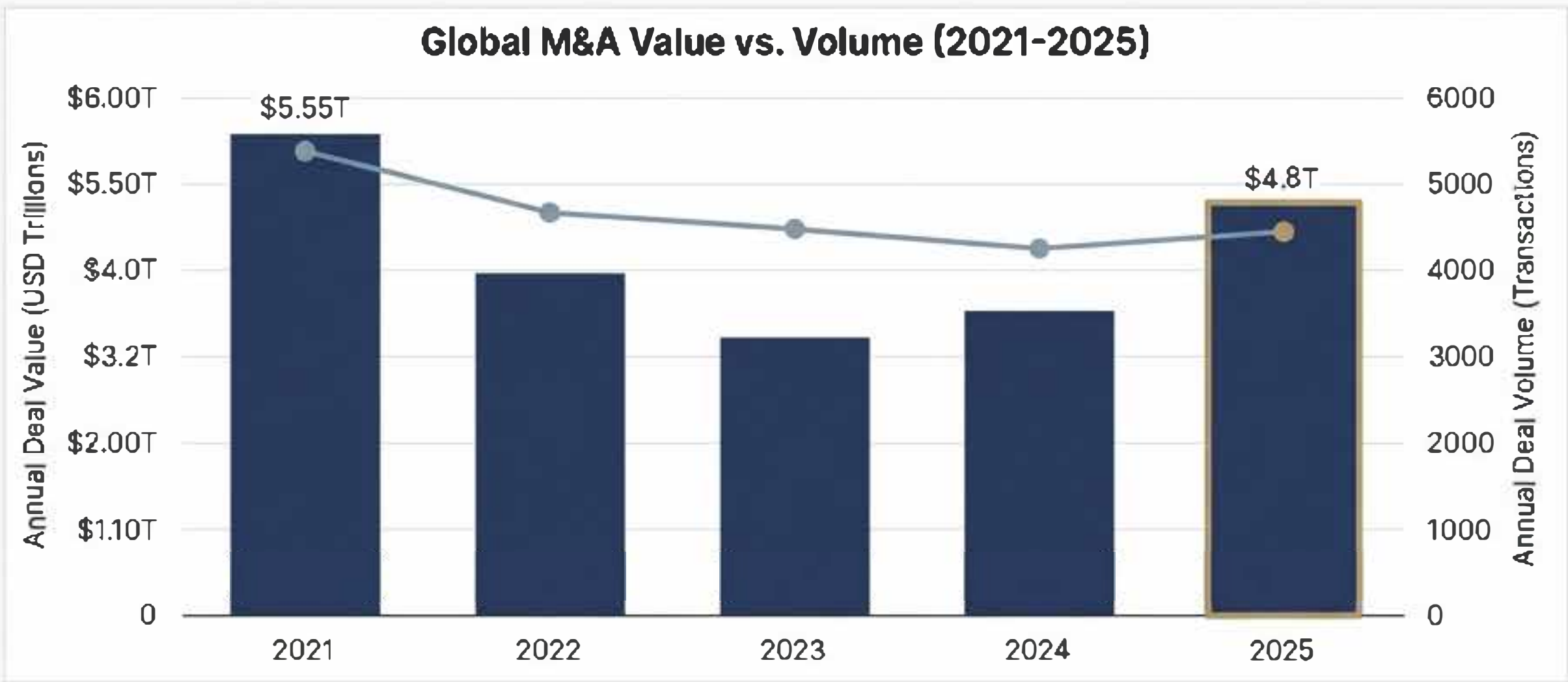
Kurma Capital

PERSPECTIVE OVER CYCLES

For internal review and discussion. Confidential.

2025: A Market of Conviction, Not Volume

After a period of interest-rate-induced paralysis, 2025 marked a profound strategic rebalancing. Dealmakers deployed capital with unprecedented scale and focus, using M&A as the primary tool to address the existential challenges of technological disruption, energy transition, and supply chain security. The market was defined by transformative, “bet-the-company” maneuvers, not opportunistic expansion.



+36% **Value Surge**
YoY increase in deal value, reaching the second-highest total on record.

116% **Megadeal Engine**
increase in count of deals valued >\$10B, driving the market's growth.

60% **Strategic Shift**
of large-scale transactions were scope-driven acquisitions of critical capabilities, not just scale-driven consolidation.

“Consistent, profitable growth at scale has been rewarded with premium valuations driving companies to continue to pursue M&A. In this market, you need nuanced dealmaking with creativity, courage and conviction.”

—Anu Aiyengar, Global Head of Advisory and M&A, J.P. Morgan

The Macroeconomic Pivot: From Cost of Capital to Cost of Inaction

The primary driver of the 2025 resurgence was the normalization of monetary policy and reduced volatility. A series of anticipated central bank rate cuts lowered financing hurdles and narrowed the bid-ask spread that had stalled the market.

This stability allowed boards to shift focus from short-term financial pressures to long-term strategic imperatives. 47% of dealmakers now cite strategic growth and new capabilities as their primary driver, a sharp reversal from the cost-cutting mandates of prior years.

Key M&A Sentiment Indicators: 2024 vs. 2025

Indicator	2024	2025
Federal Funds Rate (US)	5.25%-5.50%	3.50%-3.75% ↓
US M&A Value Growth (YTD Nov, >\$100m)	-17% YoY	+50.3% YoY ↑
Private Credit AUM (est.)	~\$1.7T	>\$2.3T ↑
Advisor Outlook (Bullish on Deal Flow)	31%	51% ↑

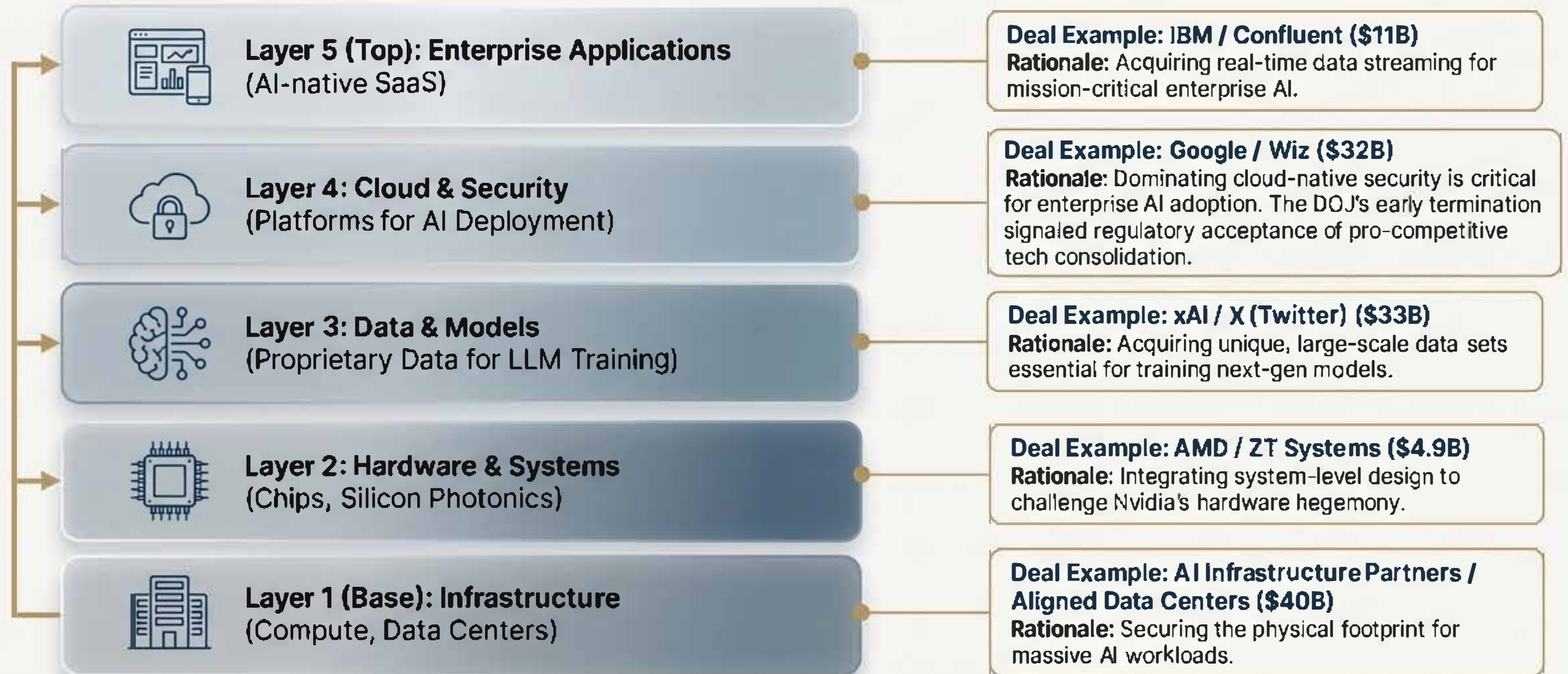
The Megadeal Defines the Market

Top 10 Announced Global Deals of 2025				
Rank	Acquirer / Target	Value (USD Billions)	Sector	Core Strategic Imperative
1	Union Pacific / Norfolk Southern	\$85B	Industrials	Creating America's first transcontinental railroad; supply chain dominance.
2	Netflix / Warner Bros. Discovery (Streaming /Studio Assets)	\$72B	TMT	Consolidation in the streaming wars; IP scale.
3	Silver Lake, PIF, Affinity / Electronic Arts	\$55B	Technology/Gaming	Largest gaming LBO; leveraging sovereign capital for IP development.
4	Chevron / Hess Corporation	\$53B	Energy	Acquisition of premier deepwater assets (Guyana) and US shale
5	Anglo American / Teck Resources	\$53B	Mining	Creation of a top-5 copper producer to meet energy transition demand.
6	Kimberly-Clark / Kenvue	\$48.7B	Consumer Health	Portfolio scale and supply chain synergy in consumer wellness.
7	AI Infrastructure Partners / Aligned Data Centers	\$40B	Technology	Massive capital deployment to meet insatiable demand for GenAI physical infrastructure.
8	Alphabet (Google) / Wiz	\$32B	Technology	Cloud security platformization; acquiring leadership in a critical growth vector.
9	Toyota Fudosan / Toyota Industries	\$33B	Industrials	Unwinding of cross-shareholdings; Japanese corporate governance reform catalyst.
10	Sycamore Partners / Walgreens Boots Alliance	\$23.7B	Retail/PE	Largest retail take-private; PE focus on operational revitalization.

The Tech Imperative: A Race to Consolidate the Full AI Stack

Technology sector deal value **surged 75% to \$478 Billion**, with nearly half of **deals >\$500M** citing **AI capabilities** as the primary driver.

The AI Value Stack



Energy's Dual Imperative: Funding the Present, Securing the Future

Consolidation of Advantaged Hydrocarbons

Maximizing cash flow from high-margin, low-cost assets.

Case Study: Chevron's \$53B acquisition of Hess Corp.

Key Asset: A 30% stake in Guyana's Stabroek Block, one of the world's most cost-effective and carbon-efficient deepwater assets with >11 billion barrels of recoverable resources.

Supporting Asset: Expanded footprint in the Bakken shale formation.



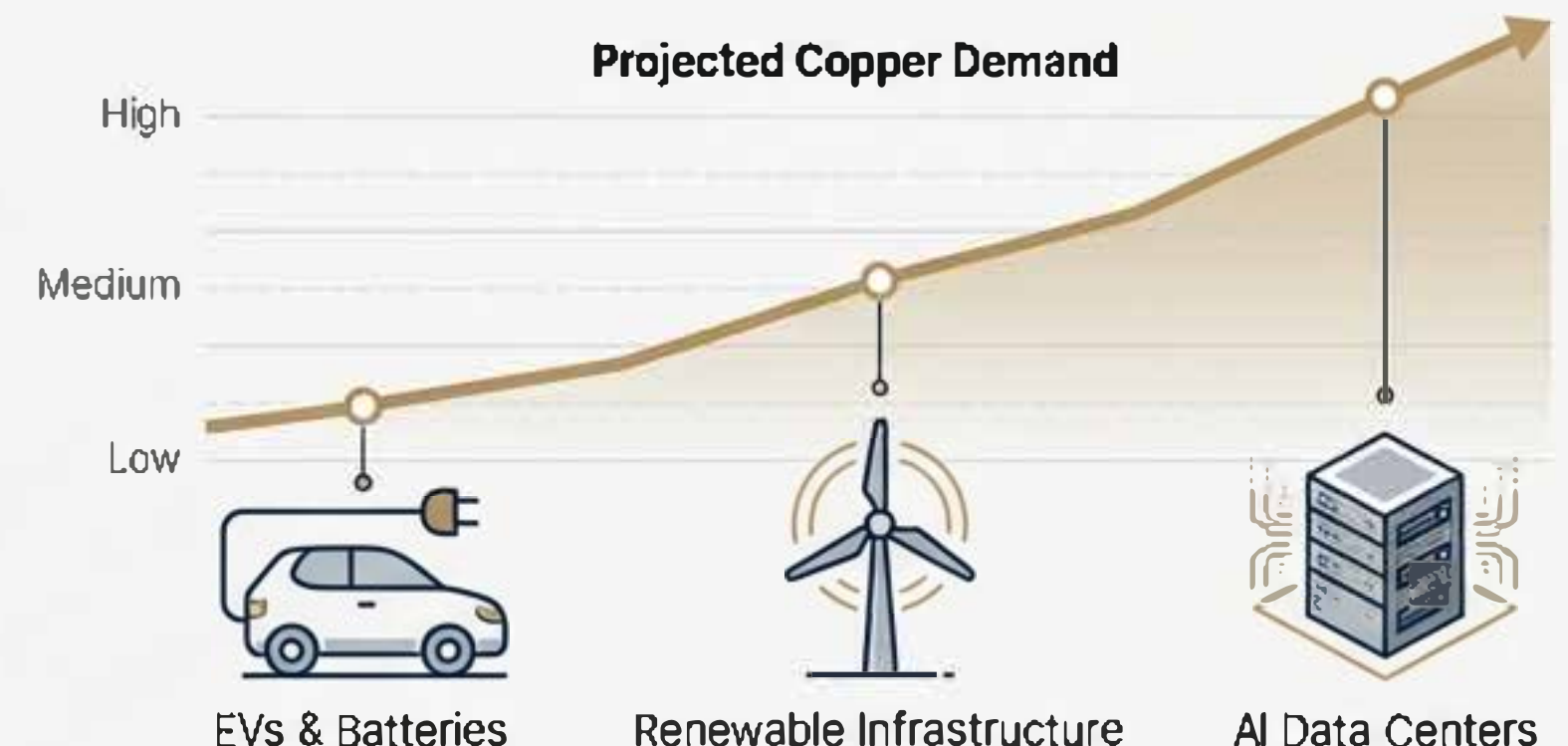
The Scramble for Critical Minerals

Securing the raw materials for global electrification.

Case Study: The \$53B "Anglo Teck" merger.

Strategic Outcome: Creates the world's 5th largest copper producer, a metal essential for EVs, renewable energy infrastructure, and AI data centers.

Geopolitical Angle: The deal was contingent on significant commitments under the Investment Canada Act, including relocating the global HQ to Vancouver and C\$10B in Canadian investment over 15 years, highlighting the rise of "resource nationalism".



Industrials and Infrastructure: Forging National Champions

Creating a Transcontinental Network

Deal: Union Pacific's \$85B proposed merger with Norfolk Southern.

Strategic Rationale: To create a single, integrated 50,000-mile freight rail network linking the Atlantic and Pacific coasts. The goal is to create a "multiplier effect" for the US economy and enhance competitiveness against long-haul trucking.

Status: Faces intense scrutiny from the Surface Transportation Board (STB) through 2027, highlighting the high regulatory stakes for deals that reshape national infrastructure.



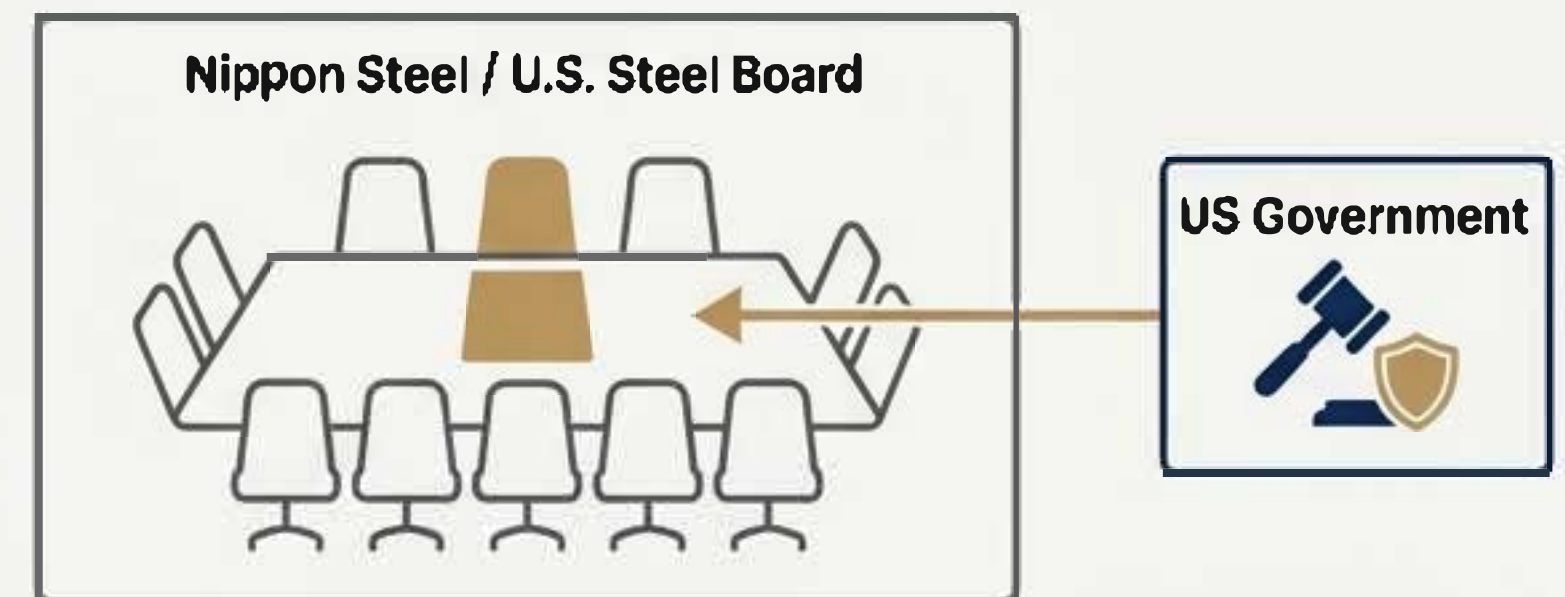
A New Model for Cross-Border M&A

Deal: Nippon Steel's finalized \$14.9B acquisition of U.S. Steel.

The Innovation: After initial prohibition, the deal closed under a unique "National Security Agreement" with the US government.

The "Golden Share": This agreement grants the US government veto rights over facility closures, HQ moves (must remain in Pittsburgh), and material acquisitions.

The "So What?": This structure provides a new playbook for completing cross-border deals in sensitive industries, blending foreign investment with state-level governance and securing an \$11B domestic investment commitment by 2028.



Biopharma’s Pipeline Imperative: High-Stakes M&A to Counter Patent Cliffs

Pharmaceutical sector M&A value increased **31% YoY** as large players aggressively acquired external innovation.

The “Obesity Wars” Catalyst

The blockbuster success of GLP-1 therapies triggered a bidding war for next-generation assets.

-  **Pfizer wins Metsera for \$4.9B:** Gained access to a portfolio of long-acting GLP-1 and amylin analogues after internal development failures.
-  **Novo Nordisk acquires Akeru Therapeutics for \$5.2B:** Deepened its focus on MASH, a related metabolic disease.
-  **Roche acquires 89bio for \$3.5B:** Further evidence of Big Pharma's massive return to the metabolic space.

2025’s Strategic Biopharma Deals

Acquirer	Target	Value	Therapeutic Area / Rationale
Johnson & Johnson	Intracellular Therapies	\$14.6B	Portfolio scale in Neuroscience
Novartis	Avidity Biosciences	\$12B	Expansion into next-generation RNA therapeutics
Merck & Co	Verona Pharma	\$10B	Filling the respiratory biologics gap
Sanofi	Blueprint Medicines	\$9.5B	Doubling down on precision Oncology
Bristol Myers Squibb	Orbital Therapeutics	\$1.5B	Selective boldness in circular RNA platforms

Private Equity Re-engages: Dry Powder Deployed with Scale and Precision

The Return of the Mega-Buyout

After a sluggish period, financial sponsors are no longer on the sidelines. The easing valuation gap and massive dry powder reserves fueled a resurgence in large-scale LBOs.

- **The \$55B take-private of Electronic Arts** by a consortium including Silver Lake and the Saudi PIF. This became the largest gaming LBO in history, aimed at insulating valuable IP from public market volatility.
- **Sycamore Partners' \$23.7B take-private of Walgreens**, focusing on revitalizing a legacy retail brand.

Key PE Market Metrics (2025 vs 2024)

Available Capital

\$2.3 Trillion

in Dry Powder.

Aggregate Buyout Value

~\$536 Billion

↗ +54% increase YoY.

Mega-Buyout Count
(>\$10B)

13 deals

↗ +116% from 6 in 2024.

Exit Activity Value

\$633 Billion

↗ +43% as IPO and sponsor-to-sponsor markets thawed.

"It's now been 2 and 1/2 years where we are all waiting for the kind of unlock of private equity assets. The way the unlock has been happening is in every flavor of minority deals...continuation funds, minority deals, partial exit, fund to fund transfer."
—Anu Aiyengar, on CNBC.

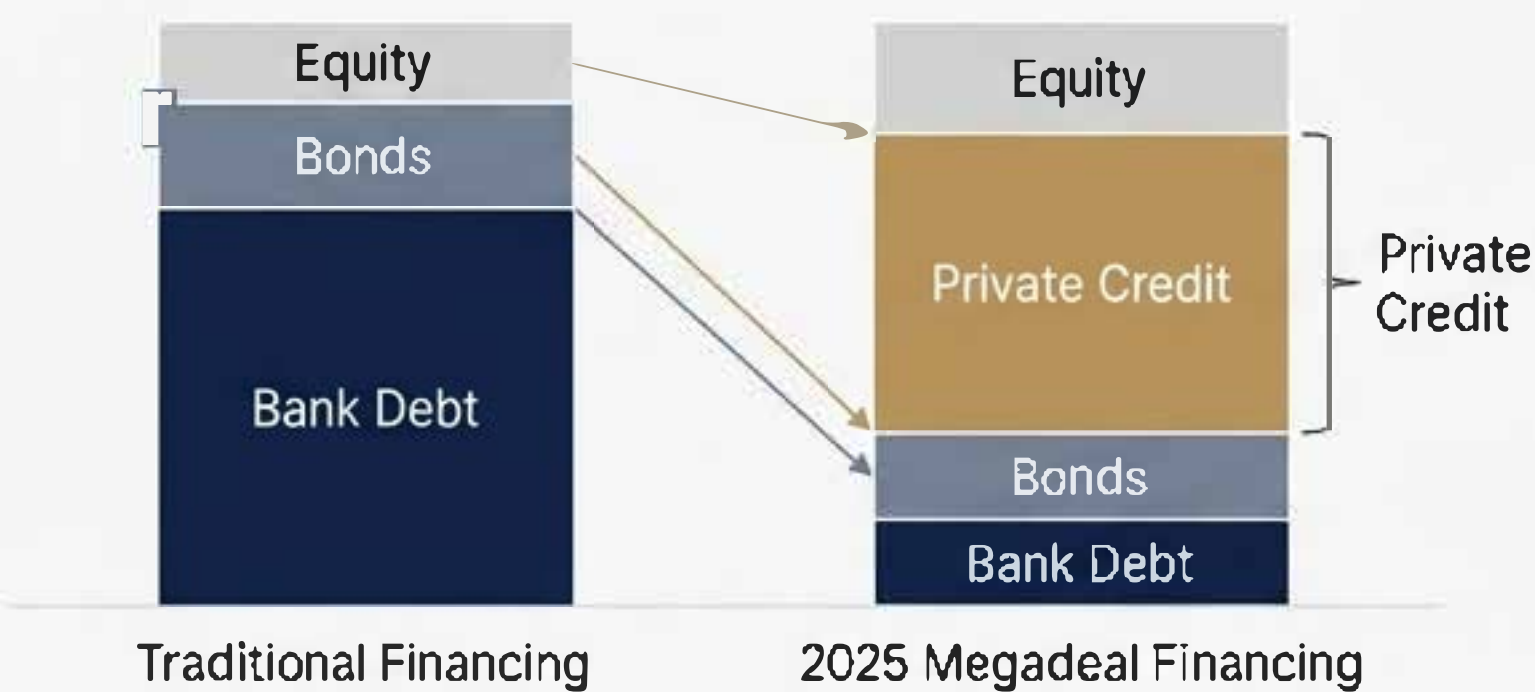
The New Capital Stack: The Ascent of Private Credit and Sovereign Wealth

Private Credit Becomes a Primary Engine

As traditional banks faced tighter capital requirements, the **\$2.3T+ private credit market** stepped in to provide bespoke, flexible financing solutions for complex megadeals. This shift was a primary enabler of the 2025 LBO resurgence.

43% of dealmakers now forecast an increase in the use of private credit, particularly where traditional lenders pause due to volatility.

Traditional vs. 2025 Megadeal Financing



Sovereign Wealth Funds as Lead Sponsors

Sovereign Wealth Funds (SWFs) have evolved from passive limited partners to active, lead investors in the world’s largest transactions, deploying vast capital reserves with long-term horizons.

Consortium Lead(s)	Target	Value	Sector
Saudi PIF / Silver Lake	Electronic Arts	\$55B	Gaming/IP
Saudi PIF / Silver Lake	Aligned Data Centers	\$40B	AI Infrastructure
Dubai Holding	Nord Anglia Education	\$14.5B	Education
CDPQ (La Caisse)	Innergex Renewable	\$7B	Clean Energy
CPPIB / GIP	Allete	\$6.2B	Utilities

The Regulatory Reset: From Confrontation to ‘America First’ Pragmatism

US Approach: “Remedy-Focused” Enforcement

The DOJ and FTC, under the second Trump administration, have signaled a significant departure from prior policies, characterized by a renewed willingness to accept structural remedies to resolve competitive concerns.

Key Policy Shift 1: Early HSR Termination Reinstated

The FTC brought back the practice of granting early termination of the Hart-Scott-Rodino waiting period, allowing non-problematic deals to close more quickly. Over **100 early terminations** have been granted since the program's restart.

Key Policy Shift 2: Emphasis on “Clean” Divestitures

Regulators strongly favor the sale of discrete, standalone businesses over complex behavioral commitments. FTC Chair Ferguson stated the FTC will not accept a remedy unless it involves the sale of a standalone business to a buyer with the resources to make it competitive.

UnitedHealth / Amedisys

The DOJ settlement required the divestiture of 164 home health and hospice locations across 19 states, the largest such divestiture in outpatient healthcare history.

European Response: Fostering “Strategic Autonomy”

The EU is exploring a shake-up of its own antitrust rules to foster the international competitiveness of EU businesses, particularly in technology and defense, to better compete with US and Chinese giants.

‘Project Bromo’

The space merger of Airbus, Leonardo, and Thales is seen as an essential ‘scale-up’ merger enabled by this new strategic focus.

A Tale of Two Asias: Japan's Resurgence and China's Domestic Realignment

Japan Becomes the 'Take-Private' Capital of Asia

Japan's M&A market **doubled in value**, becoming the third-largest globally.

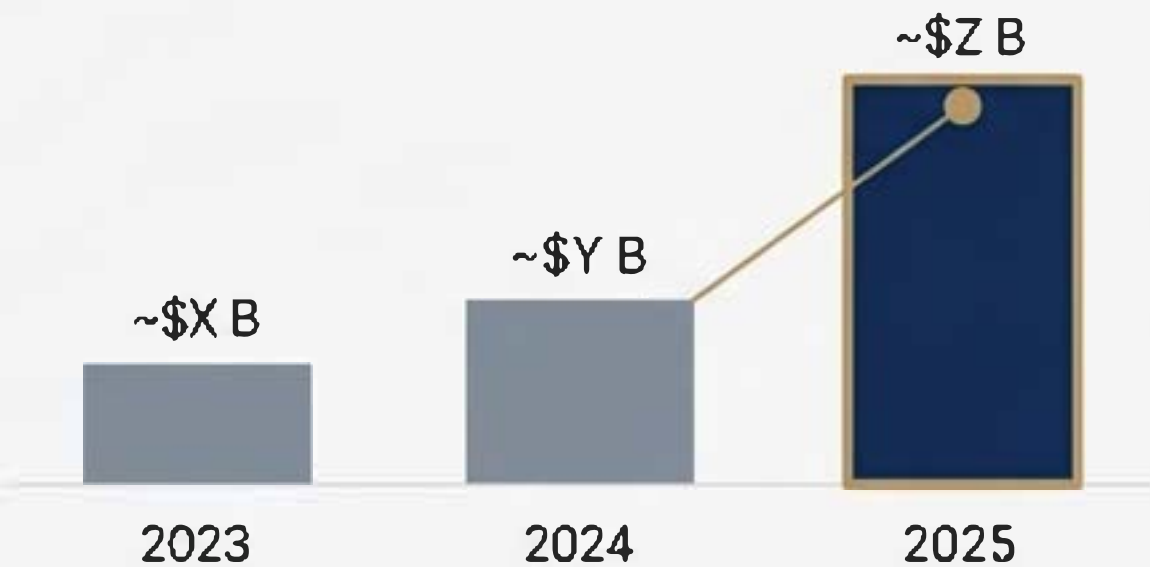
Primary Driver: Intensified pressure from the Tokyo Stock Exchange to improve capital efficiency and unwind complex cross-shareholdings, sparking a wave of management buyouts (MBOs) and take-private deals.

Key Deals:

Toyota Fudosan / Toyota Industries (\$33B): A landmark transaction reflecting the unwinding of the traditional keiretsu structure.

KKR's \$4B take-private of Fuji Soft: Highlights global PE's view of Japan as the most attractive market for inbound investment due to low interest rates and improving governance.

Japan M&A Deal Value



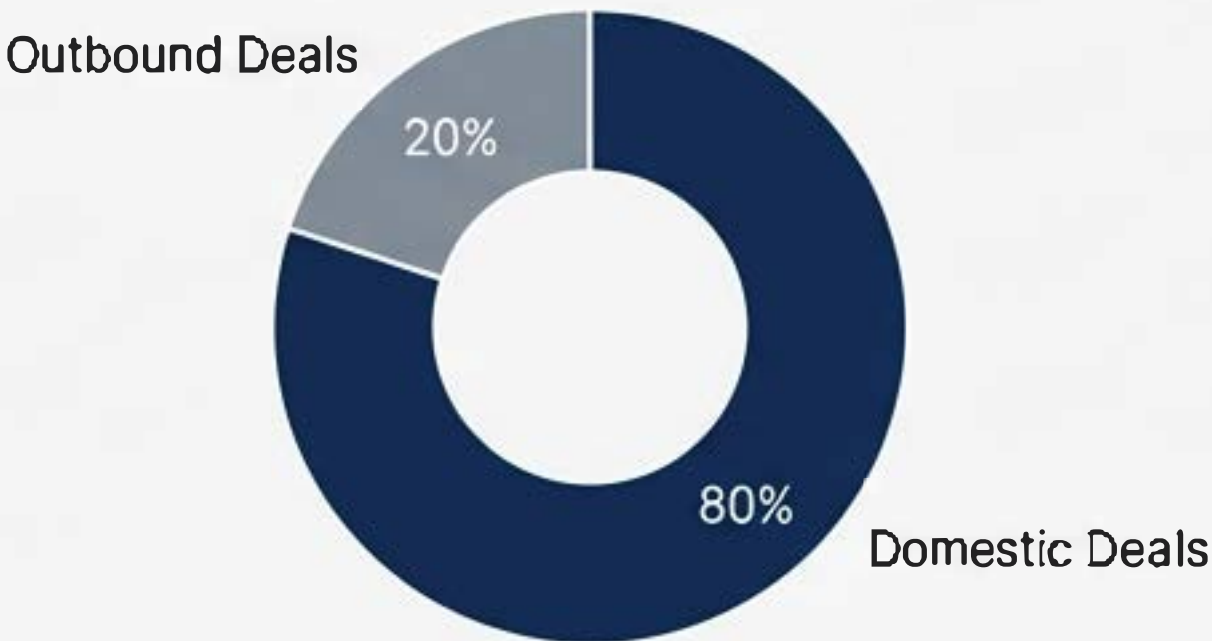
China's Focus on Value Chain Integration

Greater China saw a **45% surge in domestic strategic deal value**, reaching \$172B in H1.

Primary Driver: A new wave of State-Owned Enterprise (SOE) reforms aimed at "value chain integration" in core national industries like semiconductors, healthcare, and industrials.

Outbound Strategy: Outbound M&A remains selective, focusing on acquiring high-end manufacturing and technology, such as JD.com's **\$2.5B acquisition of Germany's Ceconomy AG**.

China M&A Focus 2025



The Capital Allocation Crossroads: M&A vs. The AI Super Cycle

A primary strategic challenge for boards is the growing tug-of-war between M&A and internal AI investment. Big Tech's planned multi-hundred-billion-dollar spend on AI infrastructure is sparking a super cycle of capital spending, forcing tougher capital allocation decisions across all sectors.

Inorganic Growth - M&A

- **Pros:** Speed to market, acquiring proven capabilities & talent, removing a competitor.
- **Cons:** High premiums, integration risk, potential regulatory hurdles.

PwC Pulse Survey (May 2025):

Despite tariff uncertainty and capex needs, **51%** of US companies are still actively pursuing deals.

Organic Growth - Capex/R&D

- **Pros:** Cultural fit, preserves balance sheet, builds internal expertise.
- **Cons:** Slower execution, high development risk, potential to fall behind competitors.

J.P. Morgan Stat:

Two-thirds of all venture capital funding in 2025 went to AI startups, highlighting the intense competition for capital and talent.



"40% of CEOs say their companies won't survive the next decade if they don't chart a new path."
—PwC CEO Survey

2025 Global M&A Market Dashboard

Global Overview

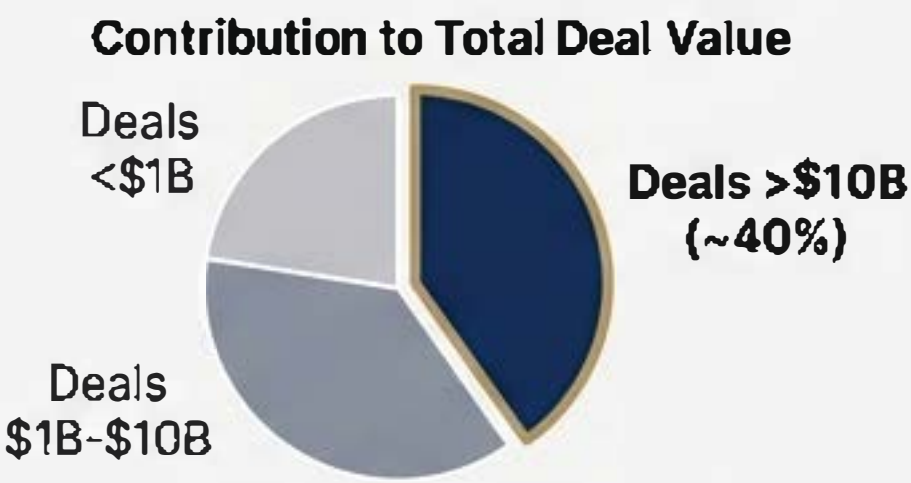
Total Announced Value:
\$4.8 Trillion (Est.)

YoY Value Growth:
+36%

Total Volume:
~45,000 (Est.)

YoY Volume Growth:
+5%

Megadeal Dominance



KPIs

Megadeal Count:
+116%

Megadeal Value:
+93%

Sector Activity (Top 5 by Value)



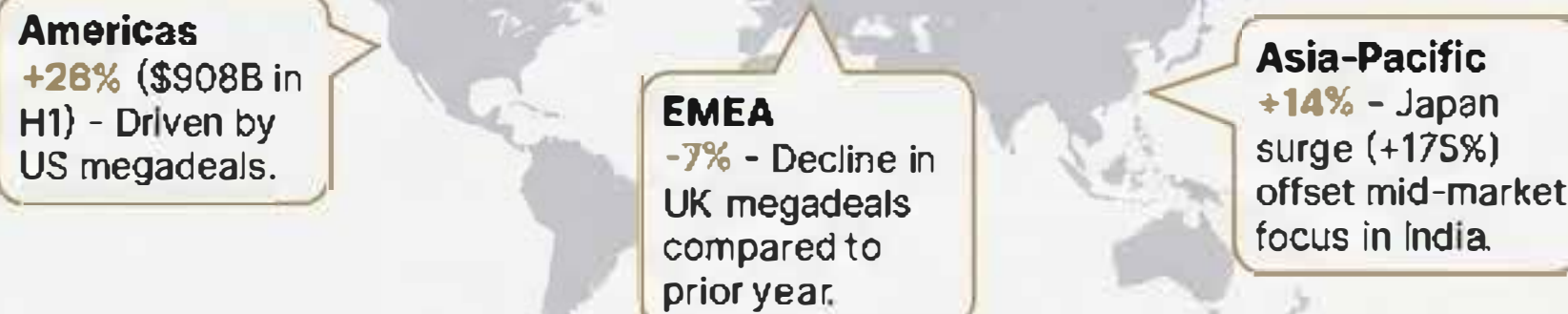
Private Equity Scorecard

Aggregate Buyout Value: **\$536B** (+54% YoY)

Aggregate Exit Value: **\$633B** (+43% YoY)

Dry Powder: **\$2.3T**

Regional Breakdown (H1 2025 Value Growth)



*Sources: Bain & Company, PwC, J.P. Morgan, EY, Pitchbook, LSEG, Dealogic.

The 2026 Imperative: Specialization Over Scale

The Great Rebalancing of 2025 has redefined the M&A playbook for the foreseeable future.

The indiscriminate pursuit of scale has been replaced by a disciplined focus on acquiring specialized capabilities. As corporations navigate continued technological and geopolitical disruption, M&A will be the primary tool for securing the three pillars of future value creation.



**"Companies aren't just buying size; they're buying the ability to lead in the era of AI-driven change."
—CFO, Electrical Contracting Firm (via Bain & Company analysis)**